

Retail Research	IPO Note
Sector: Logistics - Software	Price Band (Rs): 259 - 273
12 th November 2024	Recommendation: AVOID

Zinka Logistics Solutions Ltd

Company Overview:

Zinka Logistics Solutions Ltd is India's largest digital platform for truck operators, with 9.6 lakh users as of FY24, (representing ~27.5% of the country's truck operators) transacting on the company's platform. The platform offers services that digitally manage payments for tolling and fueling, monitor drivers and truck fleet using telematics, loads marketplace and used vehicle financing.

Key Highlights:

1. Largest digital platform for truck operators: Zinka Logistics Solutions is India's largest digital platform for truck operators by user count. In FY24, the company facilitated over 413.3 mn payment transactions for nearly 9.6 lakh truck operators, serving ~27.5% of the market and managing ~32.9% of commercial vehicle toll payments. The company's services are available across 628 districts, covering 80% of the country's districts.

2. Strong customer network: In its nine years of operations, the company has built a broad network of truck operators through targeted digital marketing and effective on-ground teams. The company's customer base of annual transacting truck operators grew from 4.8 lakh in FY22 to 9.6 lakh in FY24, signaling strong retention rates among customers due to its innovative offerings that address their challenges and enhance operations.

3. BlackBuck Mobile Application: The BlackBuck App is a digital platform offering services such as payments, telematics, a loads marketplace and used vehicle financing for truck operators. As India's largest digital platform for truck operators, the company enhances accessibility by providing the app in Hindi, Kannada, Tamil, Telugu and English along with physical presence and customer support at all hours for its customers.

4. Omnichannel distribution network: Truck operators in India, spread across metropolitan, urban, and rural areas, need support due to limited smartphone familiarity. To tackle this, the company has implemented a distribution strategy combining digital and physical touchpoints. As of Jun'24, the company has established 9,374 touchpoints, including 843 member telesales unit and 587 channel partners, enabling the company to sell and service products in 80% of India's districts and 76% of toll plazas.

Valuation: The company is a play on the formalization of the trucking industry in India providing solutions such as payments, telematics and financing. Operating revenue has grown at a CAGR of 58% over FY22-24 and the company has turned EBITDA positive (adjusted for ESOP related one time expenses during FY24 and 1QFY25). At the upper range of the price band, the issue is priced at an expensive valuation of 13.1x FY25E annualized Mcap/Sales and EV/EBITDA of 122.8x. In case, the company is able to scale up existing business and add new verticals like vehicle financing, loads marketplace etc, then operating leverage can lead to increase in profitability over next 2-3 years. However, looking at the expensive valuation, we recommend investors to AVOID the issue.

Issue Details	
Date of Opening	13 th November 2024
Date of Closing	18 th November 2024
Price Band (Rs)	259 - 273
Offer for sale (No. of shares)	2,06,85,800
Fresh Issue (Rs cr)	550
Issue Size (Rs cr)	1,115
No. of shares	4,08,32,320
Face Value (Rs)	1
Post Issue Market Cap (Rs cr)	4,599 – 4,818
BRLMs	Axis Capital Ltd, Morgan Stanley India Company Pvt Ltd, JM Financial Ltd, IIFL Capital Services Ltd
Registrar	Kfin Technologies Ltd
Bid Lot	54 shares and in multiple thereof
QIB shares	75%
Retail shares	10%
NII shares	15%

Objects of Issue	
Particulars	Estimated utilization from net proceeds (Rs cr)
Funding towards sales and marketing costs	200.0
Investment in Blackbuck Finserve Pvt Ltd for financing the augmentation of its capital base to meet its future capital requirements	140.0
Funding of expenditure in relation to product development	75.0
General corporate purposes	135.0
Total proceeds from fresh issue	550.0

Shareholding Pattern		
Pre-Issue	No. of Shares	%
Promoter & Promoter Group	5,36,58,544	34.3
Public & Others	10,26,71,616	65.7
Total	15,63,30,160	100.0

Post Issue @ Lower Price Band	No. of Shares	%
Promoter & Promoter Group	4,91,35,495	27.7
Public & Others	12,84,30,186	72.3
Total	17,75,65,681	100.0

Post Issue @ Upper Price Band	No. of Shares	%
Promoter & Promoter Group	4,91,35,495	27.8
Public & Others	12,73,41,185	72.2
Total	17,64,76,680	100.0

Source: RHP, SSL Research

Key Financials

Rs cr	FY22	FY23	FY24	1QFY25
Revenue from operation	119.3	175.7	296.9	92.2
EBITDA	(234.5)	(232.5)	(158.4)	8.4
Adj. EBITDA^	(120.5)	(154.5)	13.3	18.2
PAT	(230.3)	(236.8)	(167.0)	6.8
EBITDA Margin (%)	-	-	-	9.1
Adj. EBITDA Margin (%)	-	-	4.2	18.6
PAT Margin (%)	-	-	-	7.3
ROE (%)	-	-	-	-
ROCE (%)	-	-	-	-
PE (x)*	-	-	-	-

**Note: Pre-issue PE based on upper price band*

^Adjusted for Employee share-based payment expenses, other gains/ losses (net) and Exceptional items.

Source: RHP, SSL Research

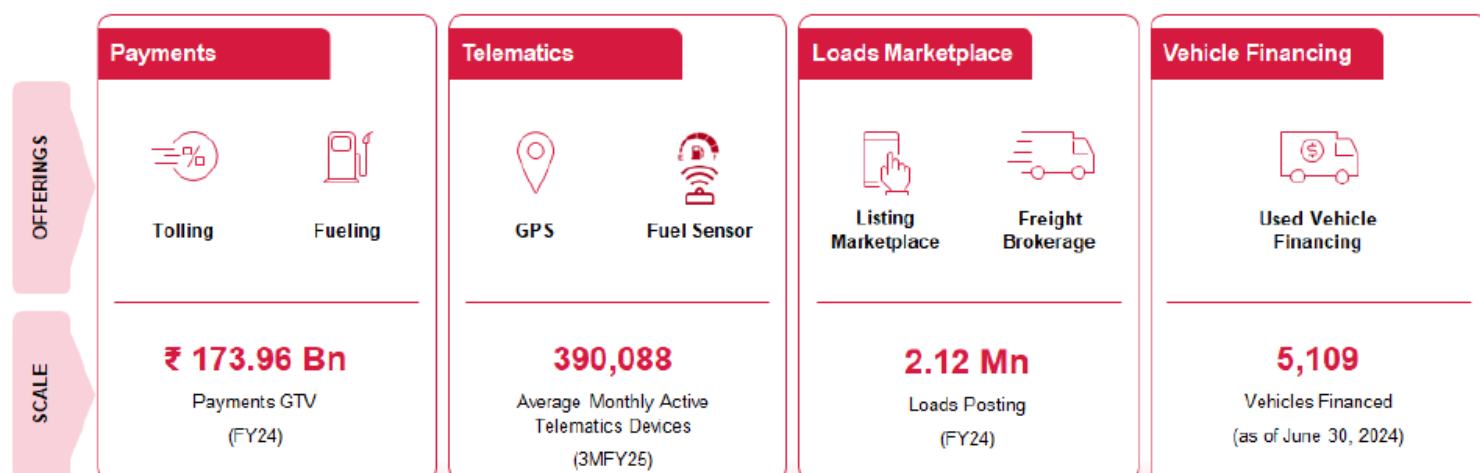
Risk Factors

- Customer retention risk:** The company's success depends on its ability to retain and increase its scale of network by maintaining the existing customer base of truck operators as well as attracting new truck operators to the platform. If the company fails to anticipate changes in customer preferences or starts to face competitive pricing pressures, demand for its offerings may decline, leading to adverse impacts on its business and financials.
- Regulatory risk:** The company's major sources of revenue include commission margin from a) FASTag Bank Partners on toll transactions, b) OMCs in fueling transactions and c) Subscription fees charged to truck operators/shippers, etc. These sources of revenue are subject to regulatory risks which may be out of the company's control. For instance, the introduction of alternate payment methods, changes in key government regulations and policies, advancements in technology in relation to toll collection, changes in customer preference or acceptance of its products and services, increased competition and changes in the global trade policies and supplies.
- Pricing risk:** Zinka Logistics generates a significant portion of its revenue from subscription plans for tolling, fueling, vehicle tracking solutions, fuel sensors and FASTag Gold service. As the business grows, the pricing model of the company is continually revised. The company raised the subscription fees for its vehicle tracking solutions from ₹3,540 to ₹4,000 in Jun'23, among others. Hence, future fee increases may discourage truck operators from using the company's platform, potentially reducing subscription revenue. The company may also need to lower fees due to competitive pressures.

Growth Strategies

- To expand and strengthen the truck operator base
- To continue investing in core verticals of payments and telematics
- To focus on growing the loads marketplace and vehicle financing verticals
- To launch new offerings through innovation
- To continue to scale the business through investment in technological infrastructure and data science capabilities

Business Verticals



Source: RHP, SSL Research

Payments: The company's payments platform provides solutions in relation to two significant expenses of truck operators, i.e., tolls and fuel payments which enables the truck operators to make these payments efficiently and securely. It provides tolling solutions (FASTags) in partnership with FASTag Partner Banks, and fueling payments solution through a cashless fuel payments platform, in partnership with multiple oil marketing companies.

Telematics: The company offers telematics solutions for truck operators that provide real-time visibility into fleet movements, route optimization and enhanced fuel management, with the aim of increasing cost savings and improving efficiency. It provides vehicle tracking and fuel monitoring solutions through its platform which helps generate revenue from truck operators through monthly or annual subscription fees.

Loads marketplace: Zinka's loads marketplace efficiently matches truck operators (who need loads) with shippers (who are looking for trucks) across commodities, load weights, truck types and distance ranges. Through its listing marketplace, registered shippers post loads on the BlackBuck Transporter mobile application ("BB Transporter App") to find a truck. The BlackBuck App thereafter provides recommendation-based loads to truck operators, matching available trucks to shippers.

Vehicle Financing: The company enables truck operators to buy used commercial vehicles or to avail financing on an existing vehicle by providing financing solutions. It primarily facilitates disbursement of credit in partnership with Financial Partners.

Revenue sources (Rs cr)

Particulars	FY22	FY23	FY24
Commission income	75.1	88.1	127.2
Subscription fees	39.1	74.3	117.9
Service fees	4.4	13.3	51.0
Others*	0.7	0.1	0.8
Total Revenue	119.3	175.7	296.9

* Includes interest income from loans given and revenues from other ancillary activities

Source: RHP, SSL Research

The company derives its revenues primarily through commission income from payments offerings, subscription fees from a combination of telematics, payments and loads marketplace offerings and service fees from the vehicle financing offering.

Key Operational Metrics

Particulars	FY22	FY23	FY24
Annual transacting truck operator	4,82,446	7,61,871	9,63,345
Total number of payments transactions (Mn)	190.7	298.6	413.3
Gross transaction value of payments (Rs cr)	8,003.2	12,194.6	17,396.2

Source: RHP, SSL Research

High Customer Retention

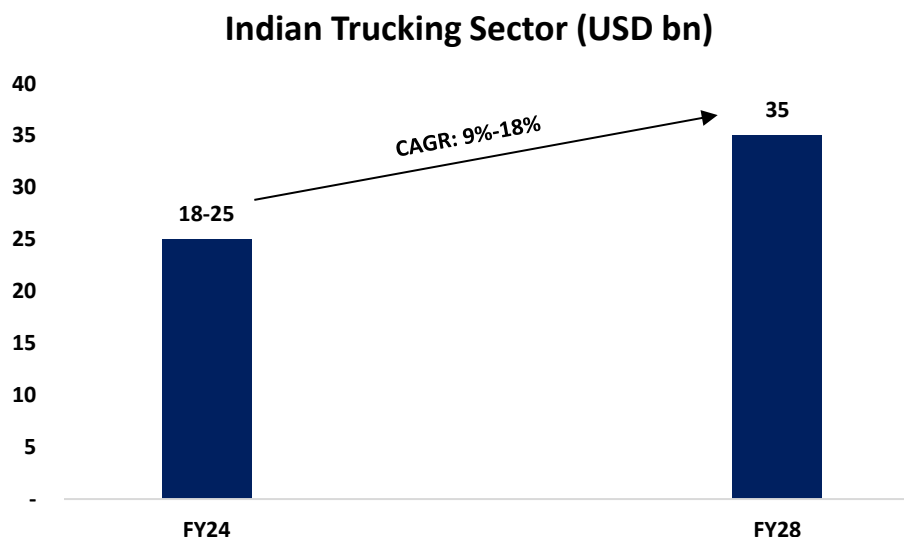
Annual Transacting Truck Operators	Fiscal 2021	Fiscal 2022	Fiscal 2023	Fiscal 2024
Fiscal 2021	100.00%	93.51%	76.04%	66.25%
Fiscal 2022	-	100.00%	87.82%	64.36%
Fiscal 2023	-	-	100.00%	85.52%
Fiscal 2024	-	-	-	100.00%

Annual Transacting Truck Operators - Retention Rate Cohort

Industry Overview

Indian Trucking Sector:

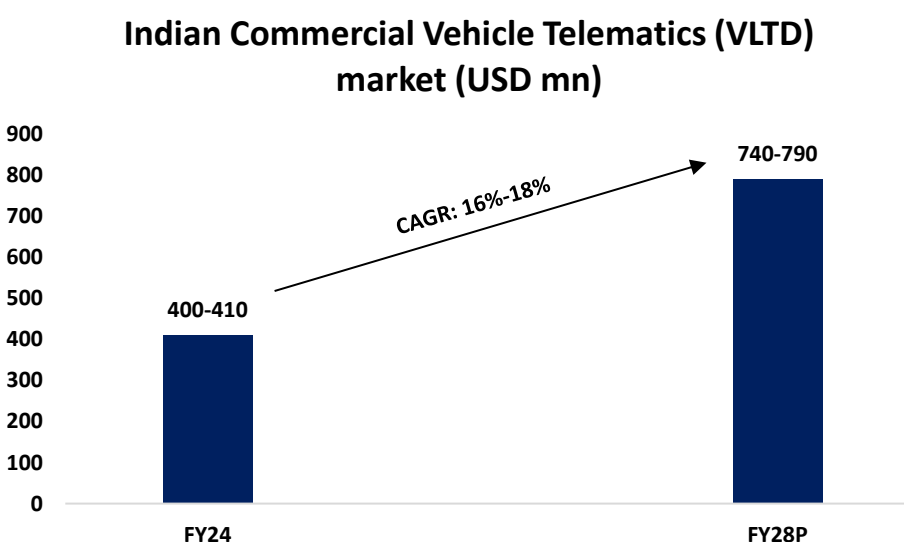
The trucking industry offers vast revenue potential for companies that solve challenges and inefficiencies and enhance value for truck operators. Innovating digital products to tailor solutions for meeting truckers' specific needs and scaling these offerings through strong distribution networks can unlock significant opportunities. As of FY24, the Indian trucking sector is valued at USD 18-25 bn and is expected to reach USD 35 bn by FY28, exhibiting a CAGR of 9%-18% during the forecast period.



Source: RHP, SSL Research

Indian Commercial Vehicles Telematics (VLTD) segment:

The Domestic Commercial Vehicles Telematics (VLTD) market is currently valued at USD 400-410 mn and is expected to grow at a CAGR of 16%-18% to reach a value of USD 740-790 mn.



VLTD: Vehicle Location Tracking Device

Source: RHP, SSL Research

Advanced Telematics offers more than just tracking; it includes features like fuel sensors, dashcams, and tyre pressure monitoring systems. Fuel sensors can detect sudden drops in fuel levels, indicating theft or leaks, which helps operators maintain control. Currently, truck operators in India typically rely on manual fuel record-keeping, but adoption of fuel sensors is expected to rise over the next four years due to their value. Companies that act quickly can gain a competitive edge in this emerging market. However, successful adoption will depend on various key factors unique to India.

Opportunities in the Indian Trucking Sector:

India's rapid economic growth is creating opportunities in the trucking sector, but inherent inefficiencies and fragmentation pose challenges for operators. While digital platforms offer scalability, a physical presence is essential for building trust. Companies that effectively address these challenges can capture significant market share in India's growing trucking industry. New-age, tech-driven end-to-end players are successfully disrupting the market, standing out from those offering piecemeal solutions.

Particulars/Segment	Payments	Loads	Financing
Monetization opportunity	Platform fee, Commission fees	Subscription fee, Commission	Net Interest Margin
FY24 Revenue (USD)	470 - 490 mn	3 - 13 bn	6.5 - 7 bn
CAGR (FY24-FY28)	16% - 18%	8% - 9%	15% - 17%
FY28P Revenue (USD)	850 - 910 mn	5 - 20 bn	12 - 13 bn

Source: RHP, SSL Research

Financial Snapshot

INCOME STATEMENT				
(Rs cr)	FY22	FY23	FY24	1QFY25
Revenue from Operations	119	176	297	92
YoY growth (%)	-	47.2%	69.0%	54.9%
Cost Of Revenues (incl Stock Adj)	-	-	-	-
Gross Profit	119	176	297	92
Gross margins (%)	100.0%	100.0%	100.0%	100.0%
Employee Cost	216	220	287	39
Other Operating Expenses	138	189	168	45
EBITDA	(235)	(232)	(158)	8
EBITDA margins (%)	-196.6%	-132.3%	-53.3%	9.1%
Other Income	37	19	20	6
Interest Exp.	17	3	3	1
Depreciation	15	20	25	7
PBT	(230)	(237)	(167)	7
Exceptional item	-	-	-	26
Tax	0	0	0	0
Reported PAT	(230)	(237)	(167)	32
Adj. PAT	(230)	(237)	(167)	7
Adj. PAT margin (%)	-193.0%	-134.8%	-56.2%	7.3%
Adj. EPS	(40.7)	(41.9)	(29.5)	1.2

BALANCE SHEET				
(Rs cr)	FY22	FY23	FY24	1QFY25
Assets				
Net Block	19	19	29	28
Intangible Assets	0	0	0	0
Right of use assets	2	12	10	9
Other Non-current Assets	176	53	59	52
Current Assets				
Current Investment	115	195	60	55
Inventories	-	-	-	-
Trade receivables	215	127	21	20
Cash and Bank Balances	191	172	336	330
Short-term loans and advances	-	-	4	5
Other Current Assets	182	77	66	74
Total Current Assets	703	571	486	484
Current Liabilities & Provisions				
Trade payables	27	16	15	12
Other current liabilities	77	98	128	84
Short-term provisions	7	7	7	7
Total Current Liabilities	111	121	149	103
Net Current Assets	592	450	337	380
Assets Classified as held for sale	-	-	67	53
Total Assets	789	533	502	523
Liabilities				
Share Capital	0	0	0	6
Reserves and Surplus	585	352	311	339
Total Shareholders Funds	585	353	311	345
Minority Interest	-	-	-	-
Total Debt	199	166	174	161
Long Term Provisions	3	3	3	4
Lease Liabilities	2	12	10	10
Other Long-Term Liabilities	-	-	3	3
Total Liabilities	789	533	502	523

Cash Flow (Rs cr)	FY22	FY23	FY24
Cash flow from Operating Activities	(78)	(119)	45
Cash flow from Investing Activities	(219)	169	19
Cash flow from Financing Activities	282	(37)	(14)
Free Cash Flow	(100)	(145)	20

RATIOS			
	FY22	FY23	FY24
Profitability			
Return on Assets	-	-	-
Return on Capital Employed	-	-	-
Return on Equity	-	-	-
Margin Analysis			
Gross Margin	100.0%	100.0%	100.0%
EBITDA Margin	-	-	-
Net Profit Margin	-	-	-
Short-Term Liquidity			
Current Ratio (x)	2.3	2.0	1.5
Quick Ratio (x)	2.3	2.0	1.5
Avg. Days Sales Outstanding	656	263	26
Avg. Days Inventory Outstanding	-	-	-
Avg. Days Payables	83	33	18
Fixed asset turnover (x)	6.2	9.2	10.2
Debt-service coverage (x)	-	-	-
Long-Term Solvency			
Total Debt / Equity (x)	0.3	0.5	0.6
Interest Coverage Ratio (x)	-	-	-
Valuation Ratios*			
EV/EBITDA (x)	-	-	-
P/E (x)	-	-	-
P/B (x)	2.6	4.4	5.0
EV/Sales (x)	13.0	8.8	4.7
P/S (x)	40.4	27.4	16.2

**Valuation ratios are based on pre-issue capital at the upper price band*

Source: RHP, SSL Research

Peer Comparison – FY24

Particulars (Rs cr)	Zinka Logistics Solutions	C.E. Info Systems	Unicommerce eSolutions
CMP	273.0	1,850.0	193.0
Sales	296.9	379.4	103.6
EBITDA	(158.4)	156.2	14.4
Net Profit	(167.0)	134.4	13.1
Mkt Cap.	4,817.8	10,065.0	1,980.0
Enterprise Value	4,105.5	9,970.4	1,979.0
EBITDA Margin (%)	-	41.2	13.9
Net Profit Margin (%)	-	35.4	12.7
PE (x)	-	74.7	86.9
EV/EBITDA (x)	-	63.8	137.3
RoE (%)	-	20.4	19.0
RoCE (%)	-	20.9	17.4
EV/Sales	15.0	5.4	10.3
P/Sales	0.9	4.9	1.9

For Zinka Logistics Solutions Ltd, the Market Cap, PE (x), Enterprise Value, EV/EBITDA (x), EV/Sales (x) and P/Sales (x) are calculated on post-issue equity share capital based on the upper price band.

CMP of peer companies is as of 12th November, 2024.

Source: RHP, SSL Research

SBICAP Securities Limited

(CIN): U65999MH2005PLC155485

SEBI Registration No.: Stock Broker: INZ000200032 | DP Registration No.: IN-DP-314-2017

Research Analyst : INH000000602 | IRDA : CA0103 | PFRDA Registration No: POP 26092018

Registered & Corporate Office: Marathon Futurex, Unit No. 1201, B-Wing, 12th Floor, N M Joshi Marg, Mafatlal Mill Compound, Lower Parel East, Mumbai 400013For any information contact us: **(022) 6854 5555****E-mail: helpdesk@sbicapsec.com | Web: www.sbisecurities.in****DISCLOSURES & DISCLAIMERS:**

Analyst Certification: The views expressed in this research report ("Report") accurately reflect the personal views of the research analysts ("Analysts") employed by SBICAP Securities Limited (SSL) about any and all of the subject issuer(s) or company(ies) or securities. This report has been prepared based upon information available to the public and sources, believed to be reliable. I/We also certify that no part of my/our compensation was, is, or will be directly or indirectly related to the specific recommendation(s) or view(s) in this report.

The Analysts engaged in preparation of this Report or his/her relative:-

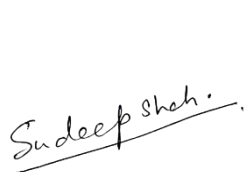
(a) do not have any financial interests in the subject company mentioned in this Report; (b) do not own 1% or more of the equity securities of the subject company mentioned in the report as of the last day of the month preceding the publication of the research report; (c) do not have any material conflict of interest at the time of publication of the Report.

The Analysts engaged in preparation of this Report:-

(a) have not received any compensation from the subject company in the past twelve months; (b) have not managed or co-managed public offering of securities for the subject company in the past twelve months; (c) have not received any compensation for investment banking or merchant banking or brokerage services from the subject company in the past twelve months; (d) have not received any compensation for products or services other than investment banking or merchant banking or brokerage services from the subject company in the past twelve months; (e) has not received any compensation or other benefits from the subject company or third party in connection with the Report; (f) has not served as an officer, director or employee of the subject company; (g) is not engaged in market making activity for the subject company.

Name	Qualification	Designation
Sudeep Shah	MMS-Finance	DVP- Technical & Derivative Research
Sunny Agrawal	B.E, MBA (Finance)	DVP - Fundamental Research
Rajesh Gupta	PGDBM (Finance), MA (Bus. Eco)	AVP - Fundamental Research
Monica Chauhan	C.A.	Research Analyst - Equity Fundamentals
Harsh Vasa	C.A.	Research Analyst - Equity Fundamentals
Sumeet Shah	B.E., CFA	Research Analyst - Equity Fundamentals
Sweta Padhi	MBA (Finance)	Research Analyst - Equity Fundamentals
Gautam Updhyaya	MBA (Finance)	Research Analyst - Equity Derivatives
Vinayak Gangule	BE (IT)	Research Analyst - Equity Technicals
Ghanshyam Gupta	MBA (Finance)	Research Analyst - Currency Derivatives
Sagar Peswani	B.Tech (ECE)	Research Associate - Equity Technicals
Uday Chandgothia	B.Tech (Mech), MBA (Finance)	Research Associate - Equity Fundamentals
Kalpesh Mangade	B.Com	MIS Analyst - Retail Research

For other Disclosures please visit: https://bit.ly/R_disclaimer02


Sudeep Shah

DVP – Technical & Derivative Research


Sunny Agrawal

DVP – Fundamental Research